

Benchmarking system by system replaced a blanket cost mandate with a focused agenda.

A pre-FEED gas development had been told it was not first quartile, with no evidence of where or why. Two independent benchmarks — top-down against 27 peers and bottom-up to component level — put the gap in pipeline and rig rate, and left production facilities alone.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Oil & gas — upstream, offshore	Consulting · supermajor upstream operator	Independent competitiveness review (pre-FEED)	4 months

THE SITUATION

- An internal review had flagged costs as outside first quartile, with no like-for-like evidence of where the project actually sat.
- Comparable shallow-water gas peers were scarce, making a credible comparison set the first problem to solve rather than an input to it.
- Without isolating which cost systems drove the gap, the response would default to cutting everywhere.

MY CONTRIBUTION

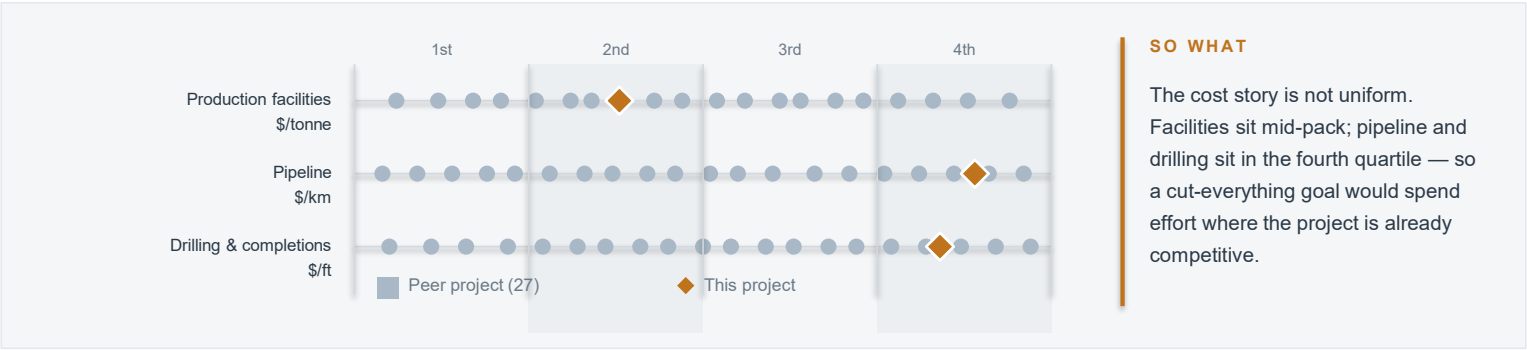
I led the benchmarking workstream feeding a joint gap-to-goal workshop: building the peer set, normalising costs top-down at system level and bottom-up at component level, quantifying the variance, and synthesising a fragmented cost picture into a board-ready verdict — independent of the project team, not a defence of it.

THE JUDGMENT THAT MATTERED

First quartile is not automatically the right goal for every cost system. Separating structural gaps — tie-back distance, seabed conditions, a thin regional contracting market — from commercially addressable ones such as rig rate is what made the benchmark actionable rather than merely damning.

EXHIBIT 1 Peer-group position by cost system

Normalised unit cost vs 27-peer set · directional

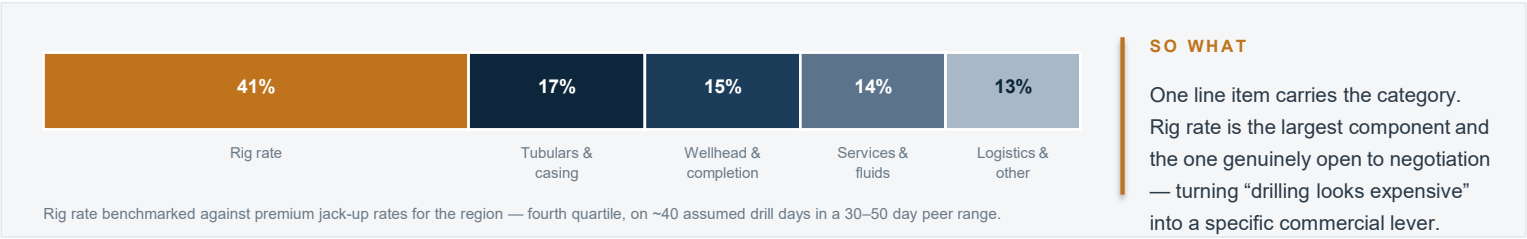


SO WHAT

The cost story is not uniform. Facilities sit mid-pack; pipeline and drilling sit in the fourth quartile — so a cut-everything goal would spend effort where the project is already competitive.

EXHIBIT 2 What actually drives drilling and completions cost

Share of benchmarked D&C cost · directional



SO WHAT

One line item carries the category. Rig rate is the largest component and the one genuinely open to negotiation — turning “drilling looks expensive” into a specific commercial lever.

WHAT THE WORK DELIVERED

- A 27-project peer set built where few ideal comparators existed — the first credible like-for-like cost view available to the decision.
- The dominant lever isolated: rig rate, roughly 41% of drilling and completions cost, sitting in the fourth quartile.

- A system-level verdict — second quartile on production facilities, fourth quartile on pipeline and on drilling & completions.
- The pre-FEED conversation reframed from cutting cost everywhere to a focused, evidence-backed gap-to-goal agenda.

HEADLINE

27 projects

in the comparative peer set